



Office of Public Affairs
U.S. Department of Justice



Doctor Convicted of \$24M Medicare Fraud Scheme

Tuesday, February 11, 2025

For Immediate Release

Office of Public Affairs

A New York doctor was found guilty yesterday by a federal jury for causing the submission of over \$24 million in fraudulent claims to Medicare for medically unnecessary laboratory tests and orthotic braces.

According to court documents and evidence presented at trial, Alexander Baldonado, M.D., 69, of Queens, received tens of thousands of dollars in illegal cash kickbacks and bribes in exchange for ordering laboratory tests, including expensive cancer genetic tests, that were billed to Medicare by two related laboratories located in New York.

As part of the scheme, Baldonado authorized hundreds of cancer genetic tests for Medicare beneficiaries who attended COVID-19 testing events at assisted living facilities, adult day care centers, and a retirement community in 2020. Baldonado was not treating any of the patients who attended the testing events and, in many cases, did not speak to or examine the patients prior to ordering cancer genetic tests and other laboratory tests for them. Baldonado also billed Medicare for lengthy office visits that he never provided to these patients. Several Medicare patients for whom Baldonado ordered cancer genetic tests and billed for office visits testified at trial that they did not know who Baldonado was and had never met or spoken to him. Baldonado did not contact the patients after the testing events to review the results of the cancer genetic tests, and, in some cases, the patients never received the test results.

In addition to the laboratory testing scheme, Baldonado also received illegal cash kickbacks and bribes from the owner of a durable medical equipment supply company in exchange for ordering medically unnecessary orthotic braces for Medicare and Medicaid beneficiaries. The evidence presented at trial showed Baldonado on an undercover video receiving a large sum of cash in exchange for signed prescriptions for orthotic braces.

The medically unnecessary laboratory tests and orthotic braces that Baldonado ordered in exchange for illegal kickbacks and bribes caused Medicare to be billed more than \$24 million. Medicare paid more

than \$2.1 million to the laboratories and the durable medical equipment supply company involved in the schemes.

Baldonado was found guilty of one count of conspiracy to commit health care fraud; six counts of health care fraud; one count of conspiracy to defraud the United States and to pay, offer, receive, and solicit health care kickbacks; one count of conspiracy to defraud the United States and to receive and solicit health care kickbacks; and one count of solicitation of health care kickbacks. Following his conviction on the 10 counts, Baldonado was remanded to the custody of the U.S. Marshals Service. He is scheduled to be sentenced on June 26 and faces a maximum penalty of 10 years in prison on each count of conspiracy to commit health care fraud, health care fraud, and solicitation of health care kickbacks and five years in prison on each count of conspiracy to defraud the United States and to pay, offer, receive, and solicit health care kickbacks and conspiracy to defraud the United States and to receive and solicit health care kickbacks. A federal district court judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

Supervisory Official Antoinette T. Bacon of the Justice Department’s Criminal Division, Special Agent in Charge Naomi Gruchacz of the Department of Health and Human Services Office of Inspector General (HHS-OIG), and Acting Special Agent in Charge Terence G. Reilly of the FBI Newark Field Office made the announcement.

HHS-OIG and FBI investigated the case.

Assistant Chief Rebecca Yuan and Trial Attorney Hyungjoo Han of the Criminal Division’s Fraud Section are prosecuting the case.

The Fraud Section leads the Criminal Division’s efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with the Office of the Inspector General for the Department of Health and Human Services, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

Updated February 11, 2025

Topic

HEALTHCARE FRAUD

Components

Press Release Number: 25-158

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